

- Home
- My Tickets VIT
- Modules
- Announcements
- People
- Quizzes
- Ask A Faculty/Mentor
- Discussions
- VIT MBA HomePage
- SEM 2: Marketing Management
- SEM 2: Operations Management
- SEM 2: Financial Management
- SEM 2: Strategic Management
- SEM 2: Human Resource Management
- Live Sessions

Required Quiz 10.1: Week 10 Quiz

Due May 31 at 11:59pm

Points 20

Questions 20

Available May 18 at 12am - May 31 at 11:59pm

Time Limit 30 Minutes

Instructions



Learning Outcome Addressed

- Demonstrate the ability to assess and manage financial risks and recommend an optimum capital portfolio for a firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, May 31, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

Note: This is a graded quiz and counts towards course completion.

This quiz was locked May 31 at 11:59pm.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	9 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted May 30 at 4pm
This attempt took 9 minutes.

Correct!

Question 11 / 1 pts

EBIT stands for:

☐ Earnings Before Income Tax

☐ Earnings Before Investment and Tax

☐ Earnings Before Internal Transfer

☒ Earnings Before Interest and Tax

That's correct!

Correct!

Question 21 / 1 pts

Degree of Combined Leverage (DCL) =

☒ $DOL \times DFL$

☐ $EBIT / Sales$

☐ $DOL + DFL$

☐ $EPS / EBIT$

That's correct!

Question 31 / 1 pts

Degree of Financial Leverage (DFL) measures:

☐ Business risk

☐ Sales risk

Correct! →

Market risk

Financial risk

That's correct!

Question 4 1 / 1 pts

High leverage indicates:

Low risk

High risk

Fixed return

No risk

Correct! →

That's correct!

Question 5 1 / 1 pts

EBIT - EPS analysis is used to:

Record transactions

Calculate sales

Prepare accounts

Compare financing options

Correct! →

That's correct!

Question 6 1 / 1 pts

Combined leverage connects:

Sales and EPS

Debt and equity

Assets and liabilities

Profit and cost

Correct! →

That's correct!

Question 7 1 / 1 pts

EPS stands for:

Equity Per Share

Earnings Per Share

Earnings Per Sale

Expense Per Share

Correct! →

That's correct!

Question 8 1 / 1 pts

DFL =

Contribution / EBIT

Correct!

EBIT / (EBIT - Interest)

That's correct!

Question 9 1 / 1 pts

Higher financial leverage means:

Correct!

Higher debt

That's correct!

Question 10 1 / 1 pts

Higher operating leverage means:

Correct!

Higher fixed cost

That's correct!

Question 11 1 / 1 pts

DCL measures:

Correct!

Total risk

That's correct!

Question 12 1 / 1 pts

If fixed cost is high, operating leverage will be:

Correct!

High

That's correct!

Question 13 1 / 1 pts

Degree of Operating Leverage (DOL) measures:

Correct!

- ☒ Business risk
- ☐ Market risk
- ☐ Financial risk
- ☐ Credit risk

That's correct!

Question 14

1 / 1 pts

Combined leverage includes:

- ☐ Financial only
- ☐ None
- ☒ Both operating and financial
- ☐ Operating only

Correct!

That's correct!

Question 15

1 / 1 pts

Financial leverage affects:

- ☐ Sales
- ☒ EPS
- ☐ EBIT
- ☐ Assets

Correct!

That's correct!

Question 16

1 / 1 pts

DCL =

- ☐ EBIT / Interest
- ☒ Contribution / (EBIT - Interest)
- ☐ EPS / Sales
- ☐ Sales / Profit

Correct!

That's correct!

Question 17

1 / 1 pts

Higher EBIT with financial leverage leads to:

- ☒ Higher EPS
- ☐ Loss
- ☐ Lower EPS
- ☐ No change

Correct!

That's correct!

Question 18

1 / 1 pts

Higher combined leverage means:

- ☐ Lower total risk
- ☒ Higher total risk
- ☐ No risk
- ☐ Fixed return

That's correct!

Question 19

1 / 1 pts

DOL =

- ☒ Contribution / EBIT
- ☐ EBIT / Sales
- ☐ Sales / Cost
- ☐ Profit / Sales

That's correct!

Question 20

1 / 1 pts

Leverage refers to:

- ☒ Use of fixed costs to increase returns
- ☐ Use of assets
- ☐ Sales growth
- ☐ Profit calculation

That's correct!

Quiz Score: 20 out of 20

◀ Previous

Next ▶